Boyd Gaming Corporation (: BYD)

Q3 2026 Earnings — Analyst Brief · Released 22 Oct 2026 (after US close); call 5pm ET same day · Currency USD (tables in millions unless stated)

Shares closed $72.27 on 22 Oct (+2.4% ahead of the after-close print), fell ~2.9% in after-hours trade to ~$70.19, opened 23 Oct at $69.51 (-3.8%, intraday low $69.31) and recovered to close at $71.69 (-0.8%) on ~1.9m shares (c.2x normal volume). Stock -15% YTD, 52-week range $65.00-91.41, market cap ~$5.1-5.2bn; Stifel cut its target to $80 from $92 (Hold) on 23 Oct, two weeks after Deutsche Bank's upgrade to Buy ($99).

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THE ONE-LINE VERDICT

A "down 1%, up 2% underlying" quarter: revenue $990.5m (-1.4% YoY, ~1.1-1.3% below the ~$1.0bn consensus) and adj. EBITDAR $319.6m (-0.7%) were held up by Midwest & South (+2.5% adjusted), Online (+16%) and Managed (+13%), while the Las Vegas destination customer deteriorated further at the Orleans and Downtown (LV Locals EBITDAR -5%, Downtown -20%). Capital return of ~$180m and a 9.4% lower share count are doing the EPS work (adj. EPS $1.67, -2.9% YoY on adjusted earnings -12.6%), and leverage has drifted from 1.8x to 2.2x in two quarters as FanDuel-related tax payments, $650m of 2026 capex and $150m/qtr buybacks run ahead of cash generation.

REVENUE (Q3-26)	ADJ. EBITDAR (NON-GAAP)	ADJ. EPS (DILUTED, NON-GAAP)	GAAP NET INCOME / DILUTED EPS	CAPITAL RETURNED (Q3)	LEVERAGE (COMPANY-DEFINED)
$990.5m	**$319.6m**	**$1.67**	**$124.9m / $1.71**	**~$180m**	**2.2x / 2.7x lease-adj.**
-1.4% YoY / -4.2% QoQ; ~1.1-1.3% below ~$1.0bn consensus	-0.7% YoY; margin 32.3% (+20bps YoY)	-2.9% YoY vs $1.72; consensus $1.62-1.70	vs $1,440.0m / $17.81 (Q3-25 incl. $1.4bn after-tax FanDuel gain)	$164m buybacks + $15m dividends; share count -9.4% YoY to 71.2m	vs 1.8x / 2.4x at Q1-26; cash $297.2m, total debt ~$2.7bn

1 EXECUTIVE SUMMARY

- **Headline miss on revenue, in-line-to-slight-beat on profit.** Q3-26 revenue $990.5m (-1.4% YoY) vs ~$1.0bn consensus (Zacks: -1.3% surprise); adj. EBITDAR $319.6m (-0.7% YoY) vs $321.8m; adj. EBITDA $290.6m vs ~$287m StockStory consensus; adj. EPS $1.67 vs a $1.62-1.70 consensus range (Zacks $1.65). GAAP net income $124.9m / $1.71 vs $1.44bn / $17.81 a year ago, which included the $1.4bn after-tax gain on the FanDuel stake sale and $65.1m of impairments.
- **Management's preferred framing is '+2% revenue / +1% EBITDAR' after stripping four items:** the Nov-2025 closure of Sam's Town Tunica, the 1-Aug-2026 sale of Sam's Town Shreveport to Bally's ($30m), a property-tax step-up at Kansas Star, and lower pass-through tax reimbursements in Online. We accept the first two as portfolio actions; the Kansas Star tax is a permanent cost and should not be adjusted out.
- **The quarter's problem is one customer in one city.** Las Vegas Locals revenue -1.6% to $207.4m and adj. EBITDAR -5.1% to $87.4m (consensus $211.2m / $90.2m), margin 42.1% (-160bps YoY). Ex-Orleans and Suncoast the segment grew revenue and EBITDAR 3% (gaming +3.5%) at a 47% margin; the drag is 'destination' (non-local) business at the Orleans, which management says intensified in Q3 versus the ~$5m/qtr EBITDAR headwind disclosed in Q2, plus Suncoast construction.
- **Downtown Las Vegas fell hardest:** revenue -10.9% to $47.4m, adj. EBITDAR -20.3% to $12.9m (consensus ~$14.3m), margin 27.1% (-320bps). Causes cited: destination softness, four storms hitting Hawaii in the last six weeks of the quarter, and a spike in Hawaiian airfares well above the ~20% national rise, now moderating. 9M Downtown EBITDAR -13.8%.
- **Midwest & South remains the ballast:** revenue +0.3% to $540.5m, adj. EBITDAR flat at $201.6m (slight beat vs $200.0m), 37.3% margin. Adjusted for Tunica/Shreveport/Kansas Star tax, revenue +~3%, gaming revenue +>2%, EBITDAR +~$5m (+2.5%) at a 38% adjusted margin; 9M EBITDAR +2.9%. Management guided 2027 growth 'largely consistent' with 2026.
- **Online and Managed both beat and guidance was steered to the top of the ranges.** Online adj. EBITDAR +15.9% to $10.9m (consensus $9.1m) on net online revenue +23.6% to $33.2m; Managed & Other +13.3% to $29.8m (consensus $28.1m) on Sky River management fees +16.4%. FY26 ranges unchanged at $35-40m (Online) and $113-117m (Managed), now 'high end' — implying ~$10m and ~$28m in Q4.
- **Consumer read-through is two-speed:** core and retail customers growing, ADT/spend up mid-single digits, unrated play strong across Las Vegas and the regionals; softness confined to the low end of the database (gas prices/inflation). August was 'very soft' portfolio-wide, July good, September 'more normal' — the Q3 weakness is not purely a Las Vegas story.
- **Operating cost control is the quiet positive.** Total opex -8.0% YoY (impairment lapping), but SG&A only +1.3% to $105.4m, corporate expense -4.0% to $29.4m (net corporate -$22.9m vs -$24.3m consensus), maintenance & utilities +1.5%. GAAP operating income +39% to $194.9m on the absence of last year's $65.1m impairment and a $24.2m gain on asset sales booked in 'project development, preopening and writedowns' (a $5.4m net credit).
- **Below the line, D&A is the structural EPS headwind:** $91.3m vs $73.7m (+24% YoY; 9M +31%) as the capex programme (Cadence Crossing, Treasure Chest, Suncoast, hotel remodels) is capitalised. Adjusted earnings fell 12.6% to $121.7m while adj. EPS fell only 2.9% thanks to a 9.7% lower diluted share count (73.0m vs 80.9m).
- **Capital return is on autopilot:** $164m of buybacks (~2.0m shares) plus $15m of dividends ($0.20/share paid 15 Oct) in Q3; ~$475m repurchased YTD; $387m left on the authorisation; target remains $150m/qtr, putting FY26 total return at >$680m (~$9.80/share on 70.7m shares). Share count 71.2m at quarter-end, 70.67m at 23 Oct.
- **Balance sheet is loosening, deliberately.** Cash $297.2m, total debt ~$2.7bn ($1.0bn 4.75% notes due Dec-2027, $900m 4.75% notes due 2031, ~$800.9m of credit facility), net debt ~$2.4bn. Company-defined leverage 2.2x traditional / 2.7x lease-adjusted vs 1.8x / 2.4x at Q1-26. The entire credit facility ($800.9m) is classified as current because of a 1-Sep-2027 springing maturity tied to the 2027 notes; management will refinance 'later this year or 1H27'.
- **Cash flow optics are distorted by the FanDuel tax bill.** 9M operating cash flow $313.4m vs $701.4m, after $364.2m of payments for

transferable federal energy tax credits used to settle federal tax on the FanDuel sale ($73.8m in Q1, the balance in Q2). Underlying 9M OCF is ~$678m (our arithmetic) against 9M capex of $456.0m.

- **Capex guidance trimmed to ~$650m from $650-700m:** $250m maintenance, $75m Orleans hotel remodel (1,800 rooms, done November), $50m growth (Cadence Crossing completion, Par-A-Dice design) and $275m for the Virginia resort (was $300m). Q3 capex $159m; implied Q4 ~$194m.
- **Growth pipeline is land-based and 2027-28 weighted:** Norfolk, VA ($750m JV with the Pamunkey Tribe; 65k sq ft casino, 200 rooms) on time/budget for Nov-2027 opening, topping-out by year-end; Sky River phase 2 (300-room hotel, spa, event centre) 2028; Par-A-Dice (IL) land-based rebuild construction late 2027; Amelia Belle (LA) land-based conversion construction late 2027 subject to approvals; Orleans property-wide renovation starts early 2027 in back-of-house areas.
- **Las Vegas outlook is 'less bad', not 'better':** Q4 destination trends guided to revert to the pre-Q3 run-rate (i.e. still negative), ~350 Orleans rooms back for weekends/NFR, Suncoast a 'very modest' Q4 contributor with 400+ rooms being remodelled through Q1-27, Cadence Crossing at full run-rate by Q1-27 (it contributed ~a third of the 3% ex-Orleans/Suncoast growth). 2027: 'modest growth' in LV Locals EBITDAR; ~50% margins remain the frame for the non-destination book.
- **M&A posture unchanged but appetite 'as big as ever':** right asset, right price, stable tax/regulatory jurisdiction; management dismissed rumours, said compressed sector multiples neither raise nor lower appetite, and that low leverage exists precisely so buybacks and capex need not be sacrificed if a deal appears. Online M&A limited to 'bite-size' capability deals; supportive of iGaming legalisation (Virginia relevant given Norfolk). Pennsylvania skill-game removal should help Valley Forge (unquantified).
- **Market reaction was muted but negative:** shares closed $72.27 on 22 Oct (+2.4% pre-print), fell ~2.9% after hours to ~$70.19, opened 23 Oct at $69.51 (-3.8%) and recovered to close $71.69 (-0.8%). Stock -15% YTD, 52-week range $65.00-91.41, market cap ~$5.1-5.2bn. Stifel cut its target to $80 from $92 (Hold) on 23 Oct.
- **Thesis read-through:** the diversified, low-promo, locals/regional model is intact and the non-Las Vegas 85% of EBITDAR is growing low-single digits with margins held; but the Orleans/Downtown destination exposure (~15% of EBITDAR) has now been a negative for four-plus quarters and worsened in Q3, and the EPS algorithm is increasingly buyback-dependent while leverage drifts up into a 2027 refinancing at a higher coupon. We see FY26 adj. EBITDAR around $1.31-1.32bn (9M $987.5m + Q4E ~$325-335m) — flat-to-down ~2-3% on a reported basis.

2 GROUP FINANCIAL SUMMARY

US$M (COMPANY-REPORTED; NON-GAAP WHERE LABELLED)	Q3-26	QOQ	YOY	9M-26	9M YOY
REVENUE BY SEGMENT					
Las Vegas Locals	207.4	-8.2%	-1.6%	650.5	-1.9%
Downtown Las Vegas	47.4	-9.0%	-10.9%	154.5	-6.8%
Midwest & South	540.5	-2.9%	+0.3%	1,622.5	+2.5%
Online (incl. pass-through reimbursements)	154.5	-2.3%	-6.7%	474.3	-6.7%
Managed & Other	40.6	-1.6%	+13.3%	120.5	+9.8%
Total revenues	**990.5**	**-4.2%**	**-1.4%**	**3,022.2**	**-0.3%**
REVENUE BY PRODUCT					
Gaming	655.0	-4.1%	-0.4%	1,988.8	+1.1%
Food & beverage	73.7	-5.1%	-2.4%	227.2	-0.3%
Room	43.1	-14.5%	-4.7%	139.5	-3.2%
Online (net: Boyd Interactive + market-access fees)	33.2	+4.4%	+23.6%	91.3	-13.9%
Online reimbursements (pass-through, zero margin)	121.2	-4.1%	-12.6%	383.0	-4.8%
Management fee (Sky River)	27.6	-3.2%	+16.4%	82.3	+13.3%
Other	36.5	+0.6%	-1.0%	110.1	+0.4%
ADJ. EBITDAR BY SEGMENT (NON-GAAP)					
Las Vegas Locals	87.4	-17.9%	-5.1%	293.8	-5.7%
Downtown Las Vegas	12.9	-24.0%	-20.3%	48.7	-13.8%
Midwest & South	201.6	-3.4%	+0.0%	603.0	+2.9%
Online	10.9	+3.2%	+15.9%	29.9	-45.7%
Managed & Other	29.8	-3.0%	+13.3%	88.9	+11.7%
Corporate expense (net of SBC)	(22.9)	flat	-3.6%	(76.7)	+7.3%
Total Adj. EBITDAR	**319.6**	**-8.8%**	**-0.7%**	**987.5**	**-2.9%**
Adj. EBITDAR margin	32.3%	-160bps	+20bps	32.7%	-90bps
Master lease rent (GLPI)	(29.0)	+0.5%	+1.4%	(86.4)	+1.5%
Adj. EBITDA (non-GAAP)	**290.6**	**-9.6%**	**-0.9%**	**901.1**	**-3.3%**
Depreciation & amortisation	91.3	+0.2%	+23.8%	277.4	+30.9%
Operating income (GAAP) Q3-25 included $65.1m impairment; Q3-26 includes $24.2m gain on asset sales within project development/preopening (net credit $5.4m)	194.9	-2.9%	+39.5%	559.6	-3.9%
Net interest expense	32.5	+7.9%	+2.4%	89.3	-30.6%
Net income attributable to Boyd (GAAP)	**124.9**	**-4.8%**	**-91.3%**	**361.7**	**-78.8%**
Diluted EPS (GAAP)	$1.71	-2.3%	-90.4%	$4.83	-76.5%
Adjusted earnings (non-GAAP)	121.7	-15.7%	-12.6%	389.2	-9.7%
Adjusted EPS (non-GAAP)	**$1.67**	**-13.5%**	**-2.9%**	**$5.20**	**-0.2%**
Diluted shares (m)	73.0	-2.4%	-9.7%	74.9	-9.5%
KPIS / CAPITAL					
Avg monthly players / actives	n/a (not disclosed)	n/a	n/a	n/a	n/a
Properties operated (period-end)	26 in 11 states + 1 managed	-1 (Shreveport sold)	-2 (Tunica, Shreveport)	26	-2
Capital expenditures	159	+12%	n/a	456.0	+3.7%
Operating cash flow (GAAP) 9M-26 OCF includes $364.2m of transferable energy-tax-credit payments to settle FanDuel-sale federal tax; underlying ~$678m (our arithmetic)	n/a (not disclosed quarterly)	n/a	n/a	313.4	-55.3%
Share repurchases	164	+5%	+2.5%	~475	n/a
Dividend per share	$0.20	flat	+11%	$0.60	n/a
Cash & equivalents	297.2	-7.9%	n/a	297.2	vs 353.4 at Dec-25
Total debt (face, approx.)	~2,700	vs ~2,600	n/a	~2,700	n/a
Net debt (approx.)	~2,400	vs ~2,280	n/a	~2,400	n/a
Leverage (traditional / lease-adj., company-defined)	**2.2x / 2.7x**	**n/a (Q2 not disclosed)**	**n/a**	**2.2x / 2.7x**	**vs 1.8x / 2.4x at Q1-26**

3 SEGMENT DEEP-DIVE — LAS VEGAS LOCALS

Two businesses in one segment: the locals book is growing 3% at 47% margins, but the Orleans' destination customer and Suncoast construction pulled EBITDAR down 5% YoY and 18% QoQ.

HEADLINE RESULTS

Revenue fell 1.6% YoY to $207.4m and adjusted EBITDAR dropped 5.1% to $87.4m, missing consensus on both lines.

- Revenue -8.2% QoQ on normal summer seasonality; margin 42.1%, down ~160bps YoY and ~500bps from Q2's 47.1%.
- Missed three-analyst consensus of $211.2m revenue / $90.2m EBITDAR by 1.8% and 3.1% respectively.
- 9M EBITDAR down 5.7% to $293.8m.
- Ex-Orleans/Suncoast, revenue and EBITDAR grew 3%, gaming revenue up 3.5%, margins 47%, same cadence as Q2 (+4% revenue) and prior quarters.
- Cadence Crossing (replaced Jokers Wild in Henderson) was roughly a third of that 3%, so same-store locals growth is nearer 2%.

DESTINATION DRAG

The Orleans destination softness intensified in Q3 and management declined to quantify it, the number the market wanted and did not get.

- In Q2 the CFO sized the drag at ~$5m EBITDAR per quarter, 'very consistent since Q3 of last year'.
- July fine, August weaker than anticipated, September better than August but not enough to offset; Q3 seasonality amplified the shortfall.
- Suncoast renovation disruption, ~$3m in Q2, was 'a little less than expected' in Q3.
- No new promotional shock from the Strip or Palms/neighbouring locals; Strip room rates aggressive for over two months.
- Boyd is not discounting Orleans rooms to chase unprofitable volume; we see this as right long term but revenue will look worse than discounting peers.

> *"very consistent since Q3 of last year"* — CFO

LOCALS FUNDAMENTALS

The locals case remains intact: core and retail segments grew, unrated play was strong, and weakness is confined to the low end.

- ADT/spend from core customers rose mid-single digits or better.
- Southern Nevada population above 2.4m growing at twice the national rate; second-highest job growth among the 30 largest metros; wage growth near 6%.
- Ex-Orleans/Suncoast 47% summer margins match Q3 of the last two years; other quarters 'hovering around 50%'.
- The 50% margin frame offered for 2027 is a non-summer number, not a step-up.

OUTLOOK AND SEQUENCING

Outlook is sequenced rather than guided, with 2027 LV Locals EBITDAR 'modest growth' dependent on destination trends holding at pre-Q3 levels.

- 1,800-room Orleans remodel completes in November, returning ~300-350 rooms out of service daily for a year; useful for weekends, holidays and National Finals Rodeo.
- Suncoast's 400+ rooms remodelled through Q1-27; Q4 a 'very modest' contribution, ramp in Q1-Q2 2027; Cadence Crossing full run-rate around Q1-27.
- Orleans property-wide renovation, a 30-year 'major maintenance upgrade', starts early 2027 in non-guest areas; no disruption guided for 2027.
- Q4 destination trends guided 'similar to what we saw before Q3' — not flat, not growing, not less bad.
- Management declined to break out the destination book; given four consecutive calls of focus, we think disclosure would help the multiple.

> *"similar to what we saw before Q3"* — CFO

LAS VEGAS LOCALS, US$M	Q3-26	QOQ	YOY	9M-26	9M YOY
Revenue	207.4	-8.2%	-1.6%	650.5	-1.9%
Adj. EBITDAR	**87.4**	**-17.9%**	**-5.1%**	**293.8**	**-5.7%**
Adj. EBITDAR margin	42.1%	-500bps	-160bps	45.2%	-180bps
Consensus (3 analysts): revenue / EBITDAR	211.2 / 90.2	n/a	miss -1.8% / -3.1%	n/a	n/a
Ex-Orleans & Suncoast: revenue growth	+3% YoY	vs +4% in Q2	+3%	n/a	n/a
Ex-Orleans & Suncoast: EBITDAR growth / margin	+3% / 47%	Q2 margin >50%	47% in Q3-25 and Q3-24	n/a	n/a
Ex-Orleans & Suncoast: gaming revenue growth	+3.5%	n/a	n/a	n/a	n/a
Destination-business EBITDAR headwind	'intensified' (unquantified)	vs ~$5m in Q2	~$5m/qtr since Q3-25	n/a	n/a
Suncoast construction disruption (EBITDAR)	'a little less than expected'	vs ~$3m in Q2	n/a	n/a	n/a
Orleans rooms out of service	300+ daily	similar	similar	returns Nov-26	n/a

4 SEGMENT DEEP-DIVE — DOWNTOWN LAS VEGAS

Hawaiian storms and airfares on top of market-wide destination softness: EBITDAR -20% YoY, the third straight quarter of double-digit declines.

HEADLINE RESULTS

EBITDAR fell 20.3% to $12.9m, the third straight quarter of double-digit declines, missing ~$14.3m consensus.

- Revenue -10.9% YoY to $47.4m, -9.0% QoQ; margin 27.1%, down ~320bps YoY and ~530bps QoQ.
- 9M EBITDAR down 13.8% to $48.7m on revenue -6.8%; Q3 accelerated an existing trend.
- Segment is only ~4% of group EBITDAR, but the margin decrement at this revenue scale is notable.

DRIVERS

Three overlapping drivers management could not disaggregate: destination softness, four Hawaiian storms and a sharp Hawaiian airfare spike.

- Same Southern Nevada destination softness affecting the Orleans.
- Four storms hit the Hawaiian Islands in the final six weeks of the quarter, described as unprecedented in that window.
- Hawaiian airfares spiked well above the ~20% national rise in 2H of the quarter; moderating but still elevated.
- California, Fremont and Main Street Station are disproportionately exposed to Hawaiian visitation via the Vacations Hawaii charter programme, a known concentration risk.

OUTLOOK

Weather and airfare should mean-revert into the holidays, but the structural destination softness will not be fixed by the calendar.

- Q2 commentary had core and Hawaiian play 'consistent with recent quarters', softness confined to the broader downtown destination customer.
- We would not model a return to 30%+ margins of 2024-25 until destination visitation stabilises.
- Near-term question is whether Q4 EBITDAR recovers to the mid-teens.

DOWNTOWN LAS VEGAS, US$M	Q3-26	QOQ	YOY	9M-26	9M YOY
Revenue	47.4	-9.0%	-10.9%	154.5	-6.8%
Adj. EBITDAR	**12.9**	**-24.0%**	**-20.3%**	**48.7**	**-13.8%**
Adj. EBITDAR margin	27.1%	-530bps	-320bps	31.5%	-260bps
Consensus EBITDAR (3 analysts)	~14.3	n/a	miss ~-10%	n/a	n/a
Drivers cited	Destination softness; 4 Hawaii storms; airfare spike	vs 'consistent' Hawaiian play in Q2	n/a	n/a	n/a

5 SEGMENT DEEP-DIVE — MIDWEST & SOUTH

Flat reported, +2.5% adjusted EBITDAR at a 38% underlying margin; the regional portfolio is doing exactly what the model says it should, with 2027 guided to look like 2026.

HEADLINE RESULTS

Revenue rose 0.3% to $540.5m and EBITDAR was flat at $201.6m, a modest beat against ~$200.0m consensus at a steady 37.3% margin.

- Revenue slightly below the $543.7m estimate; margin -10bps YoY, -20bps QoQ.
- Reported figures absorb Sam's Town Tunica closure (November 2025), Sam's Town Shreveport sale to Bally's for $30m on 1 August, and Kansas Star property tax step-up.
- Adjusted: revenue up nearly 3%, gaming revenue over 2%, EBITDAR up ~$5m or ~2.5%, 38% margin consistent with Q3 of recent years.
- 9M revenue +2.5%, EBITDAR +2.9% at 37.2% margin; the only property segment growing year-to-date.

DEMAND DRIVERS

Growth came from core and retail guests, unrated play and capital returns, though August was 'a very soft month' and low-end customers show inflation sensitivity.

- Returns on Treasure Chest's land-based move, the Ameristar St. Charles hotel and floor refreshes.
- July good, August very soft, September 'more normal'; no distinction between South, East Coast and Midwest consumer behaviour.
- Some 2026 strength attributed to consumers staying closer to home and earlier tax-bill refunds, an honest acknowledgement of a tailwind.

> *"a very soft month"* — **Management**

DEVELOPMENT PIPELINE

The pipeline is entirely land-based and back-end loaded, led by the $750m Norfolk, Virginia resort opening November 2027.

- Norfolk with the Pamunkey Indian Tribe: 65k sq ft casino, 200 rooms, eight F&B outlets, serving 1.8m Hampton Roads residents; on time and budget, topping-out by year-end.
- Par-A-Dice moves from riverboat to all-new single-level facility, construction starting late 2027; Amelia Belle land-based conversion, construction late 2027 subject to approvals.
- Pennsylvania's removal of unregulated skill games should lift Valley Forge; nothing to report yet.
- Lattner will look at Chicago-area VGT licences but is explicitly not a needle-mover.

GUIDANCE

2027 growth guided 'largely consistent' with 2026, i.e. low-single-digit same-store EBITDAR growth; we model Q4-26 reported EBITDAR at $195-200m.

- No sign in the databases that the trend is turning.
- Shreveport's absence subtracts from reported revenue and EBITDAR through Q2-27; Kansas Star tax step-up is permanent.
- Virginia preopening costs build through 2027, reported below EBITDAR.
- Q4-26 estimate of $195-200m allows for Shreveport and normal Q4 seasonality.

MIDWEST & SOUTH, US$M	Q3-26	QOQ	YOY	9M-26	9M YOY
Revenue	540.5	-2.9%	+0.3%	1,622.5	+2.5%
Adj. EBITDAR	**201.6**	**-3.4%**	**+0.0%**	**603.0**	**+2.9%**
Adj. EBITDAR margin	37.3%	-20bps	-10bps	37.2%	+15bps
Consensus (3 analysts): revenue / EBITDAR	543.7 / 200.0	n/a	-0.6% / +0.8%	n/a	n/a
Adjusted growth (ex Tunica, Shreveport, Kansas Star tax): revenue	+~3% YoY	n/a	+~3%	n/a	n/a
Adjusted growth: gaming revenue / EBITDAR	+>2% / +~2.5% (~$5m)	n/a	n/a	n/a	n/a
Adjusted operating margin	38%	n/a	consistent with prior Q3s	n/a	n/a
Portfolio actions	Shreveport sold 1-Aug ($30m)	Tunica closed Nov-25	n/a	Virginia opens Nov-27	n/a

6 SEGMENT DEEP-DIVE — ONLINE (BOYD INTERACTIVE + MARKET ACCESS)

First clean post-FanDuel comparison: net online revenue +24%, EBITDAR +16% to $10.9m, FY26 guidance steered to the top of $35-40m.

HEADLINE RESULTS

First clean post-FanDuel comparison: net online revenue rose 23.6% to $33.2m and EBITDAR grew 15.9% to $10.9m versus $9.1m consensus.

- Reported revenue -6.7% to $154.5m, but $121.2m is zero-margin pass-through reimbursements (-12.6%) and should be ignored.
- Net revenue +4.4% QoQ; ~33% margin on net revenue versus 35% a year ago as mix shifts to Boyd Interactive B2C/B2B.
- 9M EBITDAR down 45.7% to $29.9m because the 1H25 base carried old FanDuel market-access economics before the July-2025 sale of the 5% stake for $1.76bn.

BOYD INTERACTIVE

Stardust (New Jersey, Pennsylvania, Ontario) plus B2B delivered 'double-digit revenue and EBITDAR growth' again, driven by online casino.

- Business described as very efficient with comfortable customer-acquisition costs and no need to 'juice' marketing, unlike peers' spend-led strategies.
- FY26 EBITDAR guidance of $35-40m (raised $5m at Q2) unchanged but 'directed toward the high end'.
- With 9M at $29.9m, that implies ~$10m in Q4, roughly flat sequentially.

> *"double-digit revenue and EBITDAR growth"* — **Management**

STRATEGY

A small (~3% of group EBITDAR) but genuinely growing, capital-light line; management supports regulated iGaming anywhere in the US.

- Virginia is the obvious live question given Norfolk; brand (Stardust or others) decided case by case.
- Online M&A limited to 'bite-size' capability deals on the same return hurdles as land-based.
- Third-party market-access agreements contribute at a level consistent with 2H25.
- Pass-through revenue will keep distorting the reported segment number.

ONLINE SEGMENT, US$M	Q3-26	QOQ	YOY	9M-26	9M YOY
Segment revenue (reported)	154.5	-2.3%	-6.7%	474.3	-6.7%
of which: net online revenue (Boyd Interactive + market-access fees)	33.2	+4.4%	+23.6%	91.3	-13.9%
of which: online reimbursements (pass-through)	121.2	-4.1%	-12.6%	383.0	-4.8%
Online operating costs (ex pass-through)	22.0	+5.0%	+24.0%	60.7	+20.5%
Adj. EBITDAR	**10.9**	**+3.2%**	**+15.9%**	**29.9**	**-45.7%**
Adj. EBITDAR margin on net online revenue	32.9%	-40bps	-220bps	32.7%	-1,920bps (FanDuel base)
Consensus EBITDAR (3 analysts)	9.1	n/a	beat +20%	n/a	n/a
FY26 EBITDAR guidance	$35-40m, 'high end'	unchanged range	n/a	implies Q4 ~$10m	n/a

7 SEGMENT DEEP-DIVE — MANAGED & OTHER (SKY RIVER, LATTNER)

Sky River's phase-1 expansion is paying through: fees +16%, EBITDAR +13% to $29.8m, FY26 guidance to the high end of $113-117m; phase 2 (hotel) lands in 2028.

HEADLINE RESULTS

Sky River fees rose 16.4% to $27.6m and EBITDAR grew 13.3% to $29.8m versus $28.1m consensus, a ~73% margin.

- Revenue +13.3% YoY to $40.6m.
- Sequentially down 3% from Q2's $30.7m, pre-flagged as elevated after phase-1 opening (400 additional slots, 1,600-space garage).
- 9M EBITDAR up 11.7% to $88.9m, the fastest-growing line in the group.

GUIDANCE AND PHASE 2

FY26 guidance of $113-117m steered to the high end, implying ~$28m in Q4; phase 2 hotel lands in 2028.

- Guidance raised $3m at Q2; flat sequential Q4 consistent with expansion at run-rate.
- Phase 2: 300-room hotel, three F&B outlets, full-service spa and entertainment/event centre, converting Sky River to an overnight property.
- Lattner (Illinois route) is well run but small; Chicago-area VGT opportunity explicitly immaterial.

MODELLING VIEW

A high-margin, zero-capex fee stream where each incremental dollar is close to free cash flow; an underappreciated diversification contributor.

- Boyd does not consolidate Sky River.
- Risk is the contract term and the tribe's own development decisions.
- ~9% of group EBITDAR and growing double digits.

MANAGED & OTHER, US$M	Q3-26	QOQ	YOY	9M-26	9M YOY
Segment revenue	40.6	-1.6%	+13.3%	120.5	+9.8%
of which: management fees (Sky River)	27.6	-3.2%	+16.4%	82.3	+13.3%
Adj. EBITDAR	**29.8**	**-3.0%**	**+13.3%**	**88.9**	**+11.7%**
Adj. EBITDAR margin	73.2%	-110bps	-10bps	73.8%	+130bps
Consensus EBITDAR (3 analysts)	28.1	n/a	beat +6%	n/a	n/a
FY26 EBITDAR guidance	$113-117m, 'high end'	unchanged range	n/a	implies Q4 ~$28m	n/a
Sky River phase 2 (300-room hotel, spa, event centre)	under construction	n/a	n/a	opens 2028	n/a

8 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- **Core customer intact across the portfolio (structural):** core and retail play grew, unrated play strong, ADT up mid-single digits; LV Locals ex-Orleans/Suncoast +3% revenue and EBITDAR (gaming +3.5%) at 47% margins; Midwest & South +~3% revenue / +2.5% EBITDAR adjusted at a 38% margin, 9M segment EBITDAR +2.9%. structural
- **Online and Managed both beat and were steered to the top of guidance:** Online EBITDAR +15.9% to $10.9m (vs $9.1m consensus) on net online revenue +23.6%; Managed & Other +13.3% to $29.8m (vs $28.1m) on Sky River fees +16.4%. Combined ~$40m/qtr of capital-light EBITDAR growing double digits. structural
- **Cost discipline held in a soft quarter:** SG&A +1.3%, corporate expense -4.0% (net corporate -$22.9m vs -$24.3m consensus), M&S margin flat at 37.3%, group adj. EBITDAR margin +20bps YoY to 32.3% despite the revenue miss. Management: 'nothing special… day-to-day combat' on opex. structural
- **Capital return and share count:** ~$180m returned in Q3 ($164m buybacks, $15m dividends), ~$475m repurchased YTD, FY26 total >$680m (~$9.80/share); diluted share count -9.7% YoY, period-end 71.2m (-9.4%). $387m authorisation remaining; $150m/qtr target reiterated with history of leaning in on dislocation. structural
- **Capex guide trimmed to ~$650m from $650-700m** (Virginia $275m vs $300m), with Norfolk on time/budget for Nov-2027 and no disruption guided at the Orleans in 2027 as the renovation starts in back-of-house areas. one-off
- **Sequencing of Las Vegas self-help is visible:** ~1,800 Orleans rooms back in November after 300+ out daily for a year, Suncoast public areas complete (guest response 'enthusiastic'), Cadence Crossing ahead of revenue expectations and at full run-rate by Q1-27, Pennsylvania skill-game removal a free option for Valley Forge. early
- **GAAP optics improve:** operating income +39% to $194.9m (lapping $65.1m impairment; $24.2m asset-sale gain), 9M interest expense -29% to $93.7m after FanDuel-funded debt paydown. one-off

▼ LOWLIGHTS

- **Las Vegas destination softness worsened, not eased:** LV Locals EBITDAR -5.1% YoY / -17.9% QoQ to $87.4m (3.1% below consensus), margin 42.1% (-160bps YoY); the ~$5m/qtr headwind disclosed at Q2 'intensified' in Q3 and was not quantified. Same narrative for 'three or four quarters'; Q4 guided only to revert to the prior (negative) trend. structural
- **Downtown Las Vegas EBITDAR -20.3% to $12.9m, margin 27.1% (-320bps):** storms and Hawaiian airfares are one-off, but destination softness is the same market-wide problem and 9M segment EBITDAR is -13.8%. mixed
- **Revenue missed (~1.1-1.3% below ~$1.0bn) and adjusted earnings fell 12.6% to $121.7m;** adj. EPS -2.9% to $1.67 only because the share count is 9.7% lower. Group adj. EBITDAR is -2.9% for the nine months with margin -90bps; D&A +24% YoY is a growing structural drag on EPS as capex is capitalised. structural
- **Leverage rising into a refinancing:** traditional leverage 2.2x (1.8x at Q1-26), lease-adjusted 2.7x (2.4x); net debt ~$2.4bn; $800.9m of credit-facility borrowings classified current because of a 1-Sep-2027 springing maturity tied to the $1.0bn 4.75% notes due Dec-2027. Refinancing at today's coupons is likely a ~$12-18m p.a. interest headwind (our estimate). watch
- **Cash generation this year is thin on a reported basis:** 9M operating cash flow $313.4m (vs $701.4m) after $364.2m of energy-tax-credit payments for the FanDuel tax bill, against $456m capex and ~$475m buybacks; cash fell to $297.2m. Underlying OCF (~$678m) is fine, but FY26 free cash flow after $650m capex does not cover the $680m+ capital-return programme. one-off
- **August was 'very soft' everywhere, including Midwest & South,** and low-end database customers are showing inflation/gas-price sensitivity; management also credited part of 2026 regional strength to stay-close-to-home behaviour and tax refunds — tailwinds that may not repeat. watch
- **Online reported revenue -6.7% and 9M Online EBITDAR -45.7%** as FanDuel market-access economics roll off; the segment is small (~3% of EBITDAR) and the headline line will stay noisy because of zero-margin pass-through reimbursements. mixed

9 FORECAST & OUTLOOK

Guidance bridge. Boyd does not issue group guidance, so the 'bridge' is segment-level and capital-allocation guidance. Nothing was cut: Online FY26 adj. EBITDAR stays $35-40m and Managed & Other $113-117m, but both are now explicitly 'high end' after Q3 beats (implying ~$10m and ~$28m in Q4). The one numerical change is capex, trimmed to ~$650m from $650-700m (Virginia $275m vs $300m; $250m maintenance; $75m Orleans rooms; $50m growth), implying ~$194m in Q4. Buybacks stay at $150m/qtr. For the property segments the 'guidance' is qualitative: Q4 Las Vegas destination trends similar to pre-Q3 (still negative), Suncoast a 'very modest' Q4 contributor ramping in Q1-Q2 2027, Cadence Crossing at full run-rate by Q1-27, LV Locals 'modest' EBITDAR growth in 2027 with ~50% non-summer margins ex the destination assets, and Midwest & South 2027 growth 'largely consistent' with 2026. The division that moved the needle this quarter was Las Vegas Locals (Orleans destination + Suncoast), with Downtown adding to the miss; Online, Managed and corporate costs offset about half of it.

ONLINE FY26 ADJ. EBITDAR	MANAGED & OTHER FY26 ADJ. EBITDAR	FY26 CAPITAL EXPENDITURE	CAPITAL RETURN / BALANCE SHEET
$35-40m → 'high end' (~$40m) range unchanged; 9M $29.9m, Q4 implied ~$10m	**$113-117m → 'high end' (~$117m)** range unchanged; 9M $88.9m, Q4 implied ~$28m	**$650-700m → ~$650m** -$25m at midpoint; Virginia $300m → $275m; Q4 implied ~$194m	**$150m/qtr buybacks + $0.20 dividend; >$680m FY26** unchanged; leverage 2.2x/2.7x; refinance Dec-27 notes late-26/1H27

Independent view. Q4-26E (our estimates): revenue ~$0.99-1.01bn (flat to -1% YoY as Shreveport/Tunica and lower pass-through reimbursements offset Cadence and Orleans rooms), adj. EBITDAR ~$325-335m built as LV Locals ~$98-102m (normal mid/high-teens sequential uplift off a depressed Q3, Suncoast minimal), Downtown ~$15-16m, Midwest & South ~$195-200m, Online ~$10m, Managed ~$28m, corporate ~-$24m. That puts **FY26E adj. EBITDAR at ~$1.31-1.32bn** (9M actual $987.5m + Q4E), down ~2-3% reported. Q4 adj. EPS ~$1.75-1.85 (EBITDAR less ~$29m rent, ~$92m D&A, ~$33m net interest, ~$9m SBC, ~24% tax, ~70.6m shares) → **FY26E adj. EPS ~$6.95-7.05**. **Margin:** group adj. EBITDAR margin ~32.5-33% for FY26, roughly 90bps below FY25's nine-month level; property margins hold (M&S ~37-38%, LV Locals back toward mid-40s in Q4) and the drag is mix (Downtown, Orleans) rather than cost creep. **Leverage direction is up:** Q4 OCF normalises (~$230-250m with no tax-credit payments) but ~$194m capex plus ~$165m of buybacks/dividends pushes net debt toward ~$2.5bn and traditional leverage to ~2.3x at year-end; through 2027, with Virginia's remaining spend, the Orleans renovation, Par-A-Dice/Amelia Belle pre-construction and $600m+ of annual returns, we expect 2.4-2.5x (lease-adjusted ~3.0x) before Norfolk contributes from 2028 — still comfortable, but the 'low-leverage optionality' argument is being spent. The $1.0bn 4.75% 2027 notes must be refinanced (or taken out with the facility) before the 1-Sep-2027 springing maturity; at a ~6-6.5% coupon that is a ~$12-18m annual EPS headwind (~$0.13-0.19/share). **2027 shape:** M&S low-single-digit growth, LV Locals modest growth contingent on destination stabilising, Online ~$45-50m and Managed ~$120m+ (our estimates), Downtown flat at best, Virginia preopening costs below EBITDAR in 2H27. **Swing factors:** the Orleans destination customer (every $1m/qtr of headwind is ~0.3% of group EBITDAR), Hawaiian airfares, the August-type consumer air-pocket at the low end, the refinancing coupon, and whether management leans harder into buybacks at ~$70 — history says they do.

What to watch next quarter:

- Q4 Las Vegas Locals EBITDAR: does the Orleans destination drag revert to the ~$5m/qtr run-rate, and does the segment print ≥$98m with the 1,800 Orleans rooms back for NFR/holidays?
- Suncoast ramp: ~$3m/qtr of disruption to recover from Q1-27, with 400+ rooms out until then; LV Locals 2027 'modest growth' and ~50% non-summer margin claims.
- Refinancing of the $1.0bn 4.75% notes due Dec-2027 (springing facility maturity 1-Sep-2027): timing, coupon, and whether the $800.9m current classification is cleared by year-end.
- Leverage path vs the $150m/qtr buyback: 2.2x→~2.3x at YE26 and 2.4-2.5x through 2027 on our numbers; any M&A ('appetite as big as ever') would stack on top.
- Downtown: Hawaiian airfare normalisation and storm recovery; whether Q4 EBITDAR recovers to the mid-teens or the destination component keeps margins below 30%.
- Consumer: repeat of the August air-pocket, low-end database softness, and whether the 2026 stay-close-to-home/tax-refund tailwinds in Midwest & South fade in 2027.
- Online: Q4 ~$10m delivery; Virginia iGaming legislation; any 'bite-size' Boyd Interactive M&A; continued decline in pass-through reimbursements distorting the reported line.
- Pipeline execution: Norfolk topping-out by YE26 and Nov-2027 opening; Sky River phase 2 (2028); Par-A-Dice and Amelia Belle construction starts late 2027 and their capex envelopes; Pennsylvania skill-game removal uplift at Valley Forge.

DATA CONFIDENCE: HIGH FX: n/a — Boyd reports in USD. All P&L, segment, per-share and 9M figures are taken directly from the company's Q3-26 release (8-K Ex. 99.1) and cross-checked against the Form 10-Q, PR Newswire/Morningstar/Nasdaq reproductions and the call transcript. Total debt ('$2.7bn') and net debt (~$2.4bn) are company-rounded/derived, as the 10-Q debt table could not be read in full; the $800.9m current-maturity classification and the $364.2m tax-credit payments are from the 10-Q. Consensus EPS varies by source ($1.62 StockStory, $1.65 Zacks, $1.70 Investing.com/Yogonet); segment consensus is Zacks three-analyst. Q3 standalone operating cash flow and Q2-26 leverage are not disclosed (n/a). Q4-26/FY26/2027 figures in the Forecast are our estimates and are labelled as such. Cadence Crossing's exact opening date and the Kansas Star tax amount were not verified. Gaming Intelligence article (user-supplied) is paywalled; only its headline figure (-1.4% revenue) was used.

Sources: [Primary] Boyd Gaming — Q3 2026 results release, 22 Oct 2026 (investor site; full P&L, segment and non-GAAP reconciliations); [Primary] Boyd Gaming — Form 8-K Exhibit 99.1, Q3 2026 results (SEC EDGAR); [Primary] Boyd Gaming — Form 10-Q for the quarter ended 30 Sep 2026 (balance sheet, cash flow, debt/springing maturity, tax-credit payments); [Primary] Boyd Gaming — Q3 2026 earnings call transcript, 22 Oct 2026 (Motley Fool); [Primary] Boyd Gaming — Q2 2026 results release, 23 Jul 2026 (sequential comparatives); [Primary] Boyd Gaming — Q2 2026 earnings call transcript (Motley Fool; Online/Managed guidance, $5m destination and $3m Suncoast quantification); [Primary] Boyd Gaming — Q1 2026 earnings call transcript (Motley Fool; FanDuel tax-credit payments, Q1 leverage 1.8x/2.4x, Q1 buyback average price); [Primary] Boyd Gaming — Form 10-Q for the quarter ended 31 Mar 2026 (credit facility structure); [Secondary] PR Newswire — Boyd Gaming reports third-quarter 2026 results (wire reproduction used for cross-check); [Secondary] Yogonet — Boyd Gaming misses Q3 earnings estimates as Las Vegas visitor demand weakens (user-supplied); [Secondary] NEXT.io — Q3 2026: Boyd expects Las Vegas softness to ease (user-supplied); [Secondary] TheGamblest — Boyd Gaming reports 91% lower Q3 (net income) (user-supplied); [Secondary] Gaming Intelligence — Boyd Gaming revenue dips on softness in Las Vegas (user-supplied; paywalled, headline only); [Secondary] Investing.com — Earnings call transcript: Boyd Gaming misses Q3 2026 estimates, shares slip after hours (after-hours tape);

[Secondary] Zacks via Yahoo Finance — Here's What Key Metrics Tell Us About Boyd (BYD) Q3 Earnings (segment consensus); [Secondary] StockStory via Yahoo Finance — BYD Q3 deep dive (consensus revenue/EPS/adj. EBITDA); [Secondary] 6ix — NYSE:BYD daily closes (22-29 Oct 2026); [Secondary] Simply Wall St — Boyd Gaming stock slips 0.8% to $71.69 after Q3 (23 Oct close); [Secondary] CDC Gaming — Bally's completes $30m acquisition of Sam's Town Shreveport from Boyd Gaming; [Secondary] ad-hoc-news — Stifel cuts target for Boyd Gaming from $92 to $80 (23 Oct 2026).

Research analysis only — not a rating, price target, or personalised investment advice. Prepared for internal executive review.